LEARNING CENTRE

FINANCIAL PLANNING PYRAMID

Inspiration from Abraham Maslow's hierarchy of five human needs can be incorporated into the priority level of a financial plan and all its components

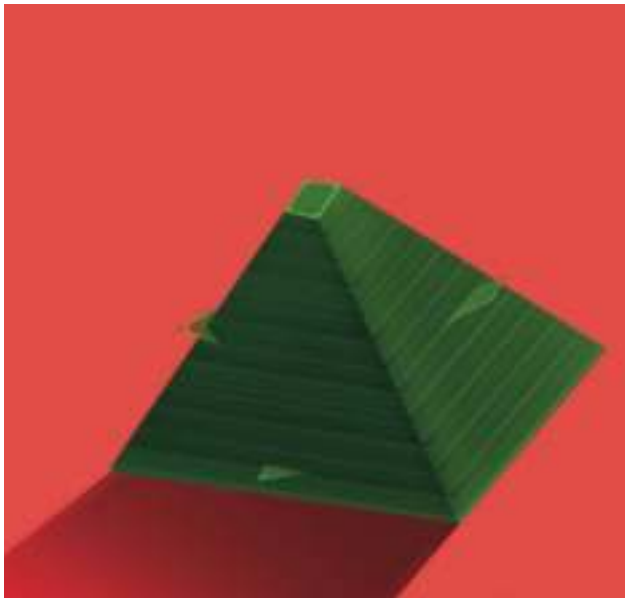


Illustration by **SIDDHANT JUMDE**

A financial plan is a blueprint, a roadmap that shows your financial situation, your goals and the approach you need to take to achieve those goals. The goals could be to save money for a house, secure a retirement or fund your daughter's education. Just as the pyramids have stood the test of time, so has the utility of having a pyramid structure to your financial plan. The pyramid could be made of financial products or involve situations that we all face.

Typically, a financial plan is prepared by a qualified financial planner, who assesses your risk-taking ability, existing financial situation, future financial goals and ways to achieve them efficiently. The planner doesn't just run numbers; they also evaluate your expectations and may be able to spell out what is possible. For instance, it is easy to calculate how much money you will need 20 years from now, each month, to live for another 30 or 40 years. A planner can tell you if that could work in your case or not.

A financial planning pyramid illustrates where to start, the process, what you can control and what you cannot. This pyramid isn't about financial products, nor is it about achieving one goal after another; it is a framework that helps you understand the importance of a financial plan. A comprehensive plan based on this pyramid can help you set realistic expectations based on your current financial situation and guide you through various events that unfold.

The base of the pyramid is a plan that is unique to you. The next level addresses the execution of your plan in situations where you may or may not be there or may or may not have the ability to act. Your absence is a consequence of your demise, and the inability to make decisions is when you aren't physically/ mentally capable of doing so. The level after this is about events beyond your control, like illnesses or medical expenses. Further ahead, the next level includes goals such as having an emergency fund, a plan to reduce your debt, optimising income tax and having a retirement plan.

The apex of the pyramid is where you want to be—a financially worry-free situation. The goal of a solid financial plan is to reach a stage where the wealth you've built is protected, meaning it doesn't lose value. It also has the ability to grow within your desired risk levels. You are prepared to manage events within your control and those beyond it. Spend time with your financial planner to sketch out a blueprint of your financial planning pyramid, and it is likely that you'll end up with a pyramid that will withstand the test of time. ■

—Narayan Krishnamurthy

